



The money market

Banks and companies use the money market to buy and sell financial assets that have short maturity dates, and that are easy and quick to exchange.

How it works

The money market exists to provide the loans that financial institutions and governments need to carry out their day-to-day operations. For instance, banks may sometimes need to borrow in the short term to fulfill their obligations to their customers, and they use the money market to do so.

For example, most deposit accounts have a relatively short notice period and allow customers access to their money either immediately, or within a few days or weeks. Because of this short notice period, banks cannot make long-term commitments with all of the money they hold on deposit. They need to ensure that a proportion of it is liquid (easily accessible) in market terms. Otherwise, if a large number of customers wish to withdraw their money at the same time, there may be a shortfall between the money the bank has lent and the cash deposits it needs to return to savers.

Banks may also find that they have greater demand for mortgages or loans than they do for savings accounts at certain times. This creates a mismatch between the money they have available and the money they have loaned out, so the bank will need to borrow in order to be able to fulfill the demand for loans.

Who uses the money market

The primary function of the money market is for banks and other investors with liquid assets to gain a return on their cash or loans. They provide borrowers such as other banks, brokerages, and hedge funds with quick access to short-term funding. The money market is dominated by professional investors, although retail investors with more than \$50,000 can also invest. Smaller deposits can be invested via money market funds. Banks and companies use the financial instruments traded on the money market for different reasons, and they carry different risks.

